

Calendar Line 4

Case Name: *Carillo v. ProteinSimple et al.*
Case No.: 25CV460472

This is a putative class and representative action arising from alleged wage and hour violations. In the first amended complaint against defendant ProteinSimple (“Defendant”), plaintiff Juan Carrillo alleges failures to pay minimum and overtime wages, provide compliant meal and rest breaks, timely pay wages during employment and upon termination, provide accurate wage statements, and reimburse business expenses, as well as related claims under Business and Professions Code section 17200 and civil penalties under the Private Attorneys General Act (“PAGA”).

Plaintiff moves for preliminary approval of the class action and PAGA settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 15, 2026, and sets a final approval hearing for January 27, 2027 at 1:30 p.m. in Department 19.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds in *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiff’s case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Like its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under PAGA. (Lab. Code, § 2699, subd. (s)(2).) Because the operative PAGA notice here was filed on or after June 19, 2024, sixty-five percent of any penalties recovered goes to the Labor and Workforce Development Agency (“LWDA”), leaving the remaining thirty-five percent for the aggrieved employees. (See Lab. Code, § 2699,

subd. (i).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of:

All individuals who currently or formerly worked for Defendant in the State of California as hourly, non-exempt employees at any time during the Class Period [September 20, 2020 through January 7, 2026].

(Tang Decl., Ex. 4 (“Agreement”), ¶¶ 12.b, 12.f.) The settlement includes a subset PAGA group of aggrieved employees (“PAGA Employees”), defined as all individuals who worked for Defendant in California as hourly, non-exempt employees during the PAGA Period, September 11, 2023 through January 7, 2026. (*Id.* at ¶¶ 12.aa, 12.cc.)

Defendant will pay a non-reversionary gross settlement amount of \$850,000, exclusive of employer-side payroll taxes. (Agreement, ¶ 12.r; Motion, p. 4.) The gross settlement amount includes attorney fees of up to thirty-five percent of the gross settlement amount (\$297,500); litigation costs not to exceed \$35,000; a PAGA allocation of \$35,000 (65 percent (\$22,750) payable to the LWDA and 35 percent (\$12,250) payable to the PAGA Employees); an enhancement (service) payment of up to \$10,000 to the named Plaintiff; and settlement administration costs not to exceed \$6,390. (Agreement, ¶¶ 12.r, 14–17; Motion, p. 4.) After these deductions, the estimated net settlement amount available for distribution to Settlement Class Members is approximately \$466,110, to be paid on a pro rata basis according to workweeks worked during the Class Period. (Motion, pp. 4–5.)

The Agreement provides that Apex Class Action Administration will serve as the neutral entity that will administer the settlement. The Court appoints Apex Class Action Administration as the settlement administrator. (Agreement, ¶ 12.oo; Tang Decl., ¶ 49.) Funds

from checks remaining uncashed after the void date will be remitted to California Rural Legal Assistance, Inc., as the designated *cy pres* recipient pursuant to Code of Civil Procedure section 384. (*Id.* at ¶ 39.) The Court approves the *cy pres* designation.

In exchange for the settlement, Settlement Class Members will release Defendant and related entities and persons from all claims which were alleged or which could have been reasonably alleged based on the factual allegations of the Operative Complaint arising during the Class Period...” (Agreement, ¶¶ 12.ii, 40.) PAGA Employees, and the State of California, will be deemed to release the Released Parties from “all claims arising from any of the factual allegations in the PAGA Letter and the Operative Complaint, arising during the PAGA period...” (*Id.* at ¶¶ 12.jj, 41.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 7–15.) The parties reached the settlement following a full-day mediation on November 7, 2025 with Monique Ngo-Bonnici, Esq. (Tang Decl., ¶¶ 15, 27; Motion, pp. 8–9.) Prior to mediation, Defendant produced Plaintiff’s personnel file, a random sampling of putative class members’ time and pay records, its relevant wage and hour policies, and class-wide data including the total number of putative class members, total workweeks, and average rates of pay. (Tang Decl., ¶ 28; Motion, p. 9.)

According to the analysis by Plaintiff’s counsel, Defendant’s estimated maximum potential exposure for all claims (assuming success at trial on every claim and a violation for every employee on every shift) is approximately \$5,629,145, including \$417,200 in PAGA penalties. (Tang Decl., ¶¶ 31, 33; Motion, p. 10.) Counsel discounted that figure by 60 percent to account for the risk of failing to obtain or maintain class certification, and by a further 60 percent for merits-based risks, yielding an adjusted, realistic exposure of approximately \$900,663. (Tang Decl., ¶ 43; Motion, p. 14.)

The gross settlement amount of \$850,000 represents approximately 15 percent of Defendant's estimated maximum exposure and approximately 94 percent of its estimated realistic exposure, which is within the general range of percentage recoveries that California courts have found to be reasonable. The \$35,000 PAGA allocation represents approximately 4 percent of the gross settlement amount. (Motion, p. 14.)

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be preliminarily approved.

C. Service Award, Fees and Costs

Plaintiff seeks a service award of \$10,000 and has provided a declaration describing his participation in this action. (Carrillo Decl., ¶¶ 3–5, 12; Tang Decl., ¶ 45.) The Court is inclined to approve the service award in the amount requested and will issue its determination at the final approval hearing. Class counsel will seek attorney fees of up to thirty-five percent of the gross settlement amount (\$297,500), plus litigation costs not to exceed \$35,000. (Motion, pp. 18–19.) Because the requested 35 percent fee exceeds the one-third benchmark commonly applied to California wage and hour class settlements, the Court will scrutinize the fee request, including through a lodestar cross-check, at the final approval hearing. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rates and hours worked) as well as evidence of actual litigation costs and settlement administration costs incurred.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ...”

Plaintiff states there are approximately 176 class members who can be identified from a review of Defendant's payroll records. (Tang Decl., ¶ 20; Motion, p. 15.) The Court finds that there are common questions regarding whether class members were subjected to Defendant's allegedly

uniform unlawful wage and hour practices, that the class is sufficiently numerous and ascertainable, and that the proposed class may be conditionally certified for settlement purposes. Defendant has stipulated to certification for settlement purposes only. (Motion, p. 15.)

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the proposed Class Notice describes the lawsuit, explains the settlement and the allocation of the gross settlement amount (including attorney fees and the enhancement payment), states each class member’s estimated individual payment, and sets forth the procedures and 60-day deadline for requesting exclusion from, objecting to, or disputing workweeks and pay periods under the settlement. (Agreement, Ex. A; Motion, pp. 19–21.) The notice will be mailed in English and Spanish, by first-class mail following a National Change of Address search. (Motion, pp. 19–20.) The form of the notice is generally adequate, subject to the modifications set forth below.

First, the Court is concerned that the objection procedure imposes conditions that are unnecessary to a valid objection and that may deter class members from exercising their right to object. As proposed, a Notice of Objection must include the objector’s signature and the last four digits of the objector’s Social Security number, a written statement of all grounds for the objection accompanied by any legal support, and copies of any documents on which the objection is based. (Agreement, ¶ 12.y; Motion, pp. 20–21.) Nothing in California Rules of Court, rule 3.769, requires an objecting class member to supply a Social Security number, and the settlement administrator can verify a class member’s identity by matching name and address against the class list without it. Conditioning a valid objection on providing Social

Security information, and on stating all grounds with supporting legal authority and documents, imposes an unwarranted burden on the right to object and raises unnecessary privacy concerns.

Accordingly, the notice and Agreement shall be modified so that a class member need not provide any portion of a Social Security number in order to object, and so that an objection is valid if it identifies the objector (by name and address) and reasonably states the basis for the objection; class members shall remain free, but not required, to submit supporting materials. The Court notes that the settlement already permits class members to object orally at the final approval hearing regardless of whether they submitted a written objection (Agreement, ¶ 32), which the modified written procedure shall complement rather than replace.

Second, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 15, 2026, and sets a final approval hearing for January 27, 2027 at 1:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: *Gonzalez et al. v. Super Micro Computer, Inc.*
Case No.: 25CV476626

This is a representative action under the Private Attorneys General Act (“PAGA”), brought by plaintiffs Eric Gonzalez and Rick Downey (collectively, “Plaintiffs”) against Defendant Super Micro Computer, Inc. (“Defendant”). Before the Court is Defendant’s motion to compel arbitration and stay civil court proceedings. Plaintiffs oppose the motion. As discussed below, the Court GRANTS IN PART and DENIES IN PART the motion. The Court compels each Plaintiff’s individual claims to arbitration. The Court STAYS the non-individual, representative claims pending the completion of the arbitrations.

I. Background

Plaintiffs Gonzalez and Downey are former employees of Defendant Super Micro Computer, Inc. (“Super Micro” or “Defendant”). Gonzalez worked as a sales support specialist from February 2023 to May 2024. Downey worked as a senior sales manager, most recently from January 2023 to October 2024. Plaintiffs allege that Super Micro misclassified them and other salaried sales employees as exempt from California’s wage-and-hour laws. They seek PAGA penalties for unpaid overtime, non-compliant meal and rest periods, inaccurate wage statements, and the untimely payment of wages. They bring these claims on behalf of the State, other aggrieved employees, and themselves. (First Amended Complaint, ¶¶ 1–5, 22–23.)

Super Micro moves to compel arbitration of the individual component of Plaintiffs’ PAGA claims and to stay the representative component. (Memorandum, pp. 1–2.) The motion rests on a written arbitration agreement that each Plaintiff signed by DocuSign on March 14, 2023. (*Id.* at pp. 2–3.) Plaintiffs oppose, contending that the agreement is an unlawful wholesale PAGA waiver, that it is unconscionable, and that the representative claims should not be stayed. (Opposition, pp. 2–12.)

II. Legal Standard